



As the world's largest hedge fund, you have come quite far. I wonder what your goals were as a young man?

I played around in the markets when I was a kid. I started when I was just 12. It was like a game, and I loved the game. The fact that I could make money playing the game was good, too, but it wasn't what motivated me. I never had any specific goals like making or managing some level of money.

It is amazing how many of the successful traders I have interviewed got started in the markets at a very young age—their teens and sometimes even younger.

That makes total sense to me because the way people think is very much influenced by what they do early in their lives. Internalized learning is easiest when we are young, which is why learning to play a sport or to speak a language well is easier at an early age. The type of thinking that is necessary to succeed in the markets is entirely different from the type of thinking that is required to succeed in school. I'm sure that my being involved in the markets from an early age profoundly affected my way of thinking.

How so?

Most school education is a matter of following instructions—remember this; give it back; did you get the right answer? It teaches you that mistakes are bad instead of teaching you the importance of learning from mistakes. It doesn't address how to deal with what you don't know. Anyone who has been involved in the markets knows that you can never be absolutely confident. There is never a trade that you know you are right on. If you approach trading that way, then you will always be looking at where you might be wrong. You don't have a false confidence. You value what you don't know. In order for me to form an opinion about anything involves a higher threshold than if I were involved in some profession other than trading. I'm so worried that I may be wrong that I work really hard at putting my ideas out in front of other people for them to shoot down and tell me where I may be wrong. That process helps me be right. You have to be both assertive and open-minded at the same